WEEK 1 · LECTURE L1 · UNIT II

What Performance Is

Three rival definitions of performance and a century of appraisal research: the foundation for every system this course examines.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Define job performance using Campbell's theory and its three determinants.
- Distinguish the behavior, outcome and system views of performance.
- Explain what a century of appraisal research learned, and what it missed.
- Evaluate what each view implies for the design of a performance management system.

COURSE OUTCOMES

CLO 1 (design performance management systems) and CLO 3 (evaluate theory and translate it into practice).

COMMIT BEFORE THEORY

Is performance something a person has, something a person does, or something a system produces?

Choose one. Every performance management system quietly assumes one of these answers.

DEFINING THE OBJECT · CAMPBELL (1990)

Performance is behavior, not results

THE DEFINITION

What people do that is relevant to the goals of the organization, and that can be scaled by level of proficiency.

NOT THE SAME AS RESULTS

Output also depends on markets, machines and colleagues. Judging a person by results alone rewards luck.

THREE DETERMINANTS

Declarative knowledge, procedural knowledge and skill, and motivation: the choice to expend effort, its level and its persistence.

KEY POINT

If performance is behavior, a performance management system must observe behavior. Someone has to be watching.

THREE RIVAL VIEWS

Each view of performance implies a different system

View	Core claim	System it implies
Behavior (Campbell)	Performance is what the person does	Observe, describe and coach behavior
Outcome (Drucker)	Performance is the objective achieved	Set objectives, then measure results
System (Deming)	Most variation in results comes from the system	Improve the system; distrust individual ratings

Campbell (1990); Drucker (1954); Deming (1986)

A CENTURY OF RESEARCH

What appraisal research learned, and what it missed

THE OLD QUESTION

For decades research asked how to rate accurately: better scales, better formats, less rater error.

THE VERDICT

Rating accuracy improved little, and accurate ratings did not by themselves improve performance.

THE NEW QUESTION

How does the system change what people do? Appraisal matters only through motivation and development.

SOURCES

DeNisi and Murphy (2017) for the old question and the verdict; DeNisi and Pritchard (2006) for the new question.

THEORY IN DEPTH · CAMPBELL (1990); CAMPBELL ET AL. (1993)

A theory of performance as behavior

THE CORE IDEA

Performance is behavior relevant to organizational goals, scalable by proficiency; results are a separate thing.

HOW IT WORKS

Behavior is produced by declarative knowledge, procedural knowledge and skill, and motivation.

LIMITS AND CRITIQUE

In many jobs behavior is hard to observe, so firms fall back on results despite the theory.

IN PRACTICE

A pharmaceutical sales representative's revenue falls in a slump while call quality is unchanged: behavior is steady, results are not.

EXAM LENS

Use it to argue that appraisal should observe behavior. Its weakness: the firm still has to care about results.

THEORY IN DEPTH · DEMING (1986)

Most variation belongs to the system

THE CORE IDEA

Most of the variation in results is produced by the system people work in, not by individuals.

HOW IT WORKS

Rating individuals then blames people for system variation; the remedy is to improve the process.

LIMITS AND CRITIQUE

It can dissolve individual accountability, and fits poorly where individual contribution is distinct.

IN PRACTICE

In a bank branch where queue time depends on staffing rules, rating tellers on queue time rates the roster, not the teller.

EXAM LENS

The strongest critique of individual ratings. Pair it with Campbell so your answer is balanced, not one sided.

THEORY IN DEPTH · DENISI AND MURPHY (2017)

One hundred years of appraisal research

THE CORE IDEA

A century of research focused on making ratings accurate, through scales, formats and rater training.

HOW IT WORKS

Accuracy improved modestly, but accurate ratings alone did not raise performance; motivation is the missing link.

LIMITS AND CRITIQUE

Much of the evidence comes from laboratory and Western settings; whole systems are rarely tested in the field.

IN PRACTICE

A firm that buys a better rating form but leaves manager conversations unchanged will see little change in performance.

EXAM LENS

Cite it to explain why the field moved from appraisal to performance management. Add DeNisi and Pritchard (2006) for the motivational framework.

COMPARE AND EVALUATE

Behavior, outcome and system views

	Behavior	Outcome	System
Measures	What the person does	Results achieved	Process capability
Strength	Fair to the person; guides coaching	Clear and countable	Targets the real cause of variation
Weakness	Costly to observe	Rewards luck and context	Weak individual accountability
Best when	Results depend on others	Output is controllable	Work is highly interdependent

EXAM LENS

Strong answers combine views: behavior for development, controllable outcomes for accountability, system fixes for shared variation.

APPLY IT · ILLUSTRATIVE CASES

Which view fits which job?

A SOFTWARE TEAM

Delivery depends on client changes and teammates. Rate behavior and code quality, not release dates alone.

A SALES TERRITORY

Results swing with the local market. Combine behavior measures with outcomes adjusted for territory.

AN ASSEMBLY LINE

Line speed sets output. Improve the system before rating individuals on volume.

EXAM TIP

These are illustrations for analysis, not real firms. Name the view, the reason it fits, and its risk.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"Performance is what people do, not what they achieve." Critically evaluate using Campbell, Drucker and Deming. **20 marks**

A strong answer: defines each view; shows what each implies for design; weighs the trade offs; uses an Indian example; takes a reasoned position.

"A century of appraisal research improved ratings but not performance." Discuss, and draw lessons for a modern system. **20 marks**

A strong answer: uses DeNisi and Murphy and DeNisi and Pritchard; explains why accuracy is not enough; links appraisal to motivation and development.

Distinguish performance appraisal from performance management. **10 marks**

A strong answer: event versus continuous cycle; judgment versus development; cites Aguinis or DeNisi and Murphy.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Performance is behavior; results also reflect luck, markets and systems
2. Every system assumes a view of performance: name it before you judge the system
3. Accurate ratings alone do not raise performance; motivation and development do

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50.

HOW TO USE THESE

This is the Week 1 set reading. The other two Week 1 items in the Lesson Plan are in house course materials and are not needed for the examination.

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Aguinis, H. (2013). *Performance management* (3rd ed.). Pearson.

Campbell, J. P. (1990). Modeling the performance prediction problem in industrial and organizational psychology. In M. D. Dunnette & L. M. Hough (Eds.), *Handbook of industrial and organizational psychology* (2nd ed., Vol. 1, pp. 687–732). Consulting Psychologists Press.

Campbell, J. P., McCloy, R. A., Oppler, S. H., & Sager, C. E. (1993). A theory of performance. In N. Schmitt & W. C. Borman (Eds.), *Personnel selection in organizations* (pp. 35–70). Jossey Bass.

Deming, W. E. (1986). *Out of the crisis*. MIT Center for Advanced Engineering Study.

Sources for this lecture (2 of 2)

DeNisi, A. S., & Murphy, K. R. (2017). Performance appraisal and performance management: 100 years of progress? *Journal of Applied Psychology, 102*(3), 421–433. https://doi.org/10.1037/apl0000085

DeNisi, A. S., & Pritchard, R. D. (2006). Performance appraisal, performance management and improving individual performance: A motivational framework. *Management and Organization Review, 2*(2), 253–277. https://doi.org/10.1111/j.1740-8784.2006.00042.x

Drucker, P. F. (1954). *The practice of management*. Harper & Brothers.